

valuation (see Chapter 10). The corresponding period in the 1920s began from *low* valuation. The new record of complacent buying and the consistently higher valuation reflect the Elliott Wave case that a Grand Supercycle, a trend one degree larger than the one that ended in 1929, is cresting. Like 1929-1932, the next event should be a period of urgent selling that does not stop until it has set all-time records.

Some people argue that markets are unpredictable because people learn and therefore act differently at different times. The truth is that markets are largely predictable *because* people learn. As discussed in Chapter 1, their learning is weighted toward recent experience. Progressions of smaller corrections, for instance, are due to learning. Initially bearish investors “learn” over time that market setbacks are buying opportunities, so upon each new occurrence, the general fear is less, so the response time for committing new funds is less. The same is true of periods of less and less urgent selling. Investors keep “learning” that markets always come back after falling, so they buy during and after every pullback so quickly and persistently that no urgent selling occurs. This trend continues until there are no more corrections, investors having learned that there will not be one deep enough or long enough to buy at lower prices. At that point, the last dollar is soon committed, and the market is ripe for a crash.

OUTLOOK

Figure 9-3 shows that the annual rate of change for the S&P Composite index in November 1929 reached minus 35% (indicating a net decline of 35%, using the monthly average of daily figures, in twelve months). This was an extreme figure that signaled the onset of Supercycle wave (IV). The maximum downside rate of change on a one-year basis was achieved in July 1932 at minus 64%. Supercycle wave (II) produced a nearly identical oversold condition in 1857 with a twelve month decline of 52%. The developing Grand Supercycle bear market will at some point generate a one-year net decline greater than these. In fact, it should set two- or three-century records for the depth of oversold condition on every indicator discussed in this chapter.

Historically extreme readings on all momentum indicators, including short term ones, will be a natural part of the process of broad and intense selling that must take place if prices are to go